IOWN

The Morning Brief

APRIL 26, 2026

Fed Week

Powell's likely final meeting, $700B hyperscaler earnings, and a failed Iran weekend converge.

S&P 500 (FRI CLOSE)	BRENT (FRI CLOSE)	BITCOIN (LIVE)	FOMC	FEAR & GREED
~7,139 · ATH	~$104 · Compressing	~$77K · Range-bound	Apr 28–29 · Hold priced	31 · Fear

SECTION 01

Markets — Week in Review

A RECORD CLOSE SETS UP THE MOST CONSEQUENTIAL WEEK OF THE QUARTER

The S&P 500 closed Friday at a fresh all-time high near 7,139 on the back of Intel's above-consensus Q1 print and a broad semiconductor rally. The week ahead converges three independent catalysts onto a single tape: the FOMC's April 28–29 meeting, four hyperscaler earnings reports on Wednesday plus Apple on Thursday, and Q1 GDP and PCE inflation on Thursday morning. None of these is a marginal event. Each carries the capacity to reset the path. The committee should approach the week with the discipline that this kind of catalyst convergence requires.

S&P 500 (FRI CLOSE)	~7,139 · New all-time high
BRENT CRUDE	~$104 · War premium compressing
FED FUNDS TARGET	3.50–3.75% · Hold priced · ~99% odds (Polymarket)
HYPERSCALER CAPEX 2026	~$700B combined · AMZN/GOOGL/MSFT/META
CARSON'S SPY SUPPORT	$645.80 · Active · Untouched
FEAR & GREED	31 · Fear · Recovery from conflict lows

THE FED TRANSITION IS NOW IN MOTION — DOJ DROPS THE POWELL PROBE

The Department of Justice on Friday dropped its criminal investigation of Fed Chair Jerome Powell, removing the political condition that Sen. Tillis had placed on the Warsh confirmation vote, per CNBC. Wednesday's FOMC meeting is now likely to be Powell's final meeting as Chair before his term ends May 15. Powell has stated he will continue to serve until Warsh is confirmed, per CNBC. The market enters the meeting with no cut priced, the policy rate at 3.50–3.75%, and JPMorgan now expecting a hold through the remainder of 2026 given the war-inflation leg. The dot plot, the press conference tone on the Iran-driven inflation pulse, and any procedural language acknowledging the Chair transition are the three signals to track. **Avoid Erosion.**

A market at all-time highs entering a Fed meeting that may be Powell's last, against the largest single week of AI-capex disclosure in history, requires the discipline to underwrite positioning rather than headlines. **Think Like an Owner.**

SECTION 02

Geopolitics

THE ISLAMABAD TRACK COLLAPSED SATURDAY — TRUMP PULLED WITKOFF AND KUSHNER

The most material weekend development was the failure of the planned Saturday talks in Islamabad before they began. Iranian Foreign Minister Abbas Araghchi left Pakistan Saturday after meetings with Field Marshal Asim Munir and Prime Minister Sharif, and President Trump subsequently announced he had told envoys Steve Witkoff and Jared Kushner not to travel, per CBS News, PBS, and the Washington Post. Trump characterized Iran's offer as substantial but insufficient to advance the talks. The structural read is consistent with the pattern that has defined every prior diplomatic cycle: a deadline approaches, a negotiating channel opens, a procedural breakdown follows, and the underlying naval blockade and Hormuz disruption persist. The ceasefire holds in practice, but the formal-agreement path has not advanced. Reuters and Al Jazeera both confirmed the Strait of Hormuz remains effectively closed, with US forces continuing tanker interceptions in Asian waters.

THE ENERGY SLEEVE CARRIES THE GEOPOLITICAL RISK WITHOUT THE GEOPOLITICAL PREMIUM

Brent settled near $104 Friday after a four-session winning streak ended, per CNBC. The week was on track for an approximately 14% gain before Friday's pullback, with the war premium compressing as the ceasefire held and reaccumulating each time talks fractured. The committee's positioning —CVX, VLO, OKE, CTRA, CNX—continues to benefit from the structural revenue uplift created by the Hormuz disruption regardless of whether headline oil retraces or extends. Refining margins, per Morgan Stanley research cited Friday, are unlikely to return to pre-conflict levels in the near term given the physical infrastructure damage to Saudi and Gulf processing capacity. That structural read continues to support VLO's thesis even with Brent off its highs. The diplomatic failure this weekend reduces the probability that the energy premium fully unwinds before the Fed meeting concludes, which extends the inflation backdrop the FOMC must address.

ISLAMABAD TALKS	Failed Saturday · Iran FM departed · Trump pulled envoys
TRUMP	Iran offer characterized as substantial but insufficient
HORMUZ	Remains effectively closed · Tanker seizures continue
BRENT (FRI CLOSE)	~$104 · Snapped a 4-session winning streak
REFINING MARGINS	Unlikely to retrace pre-conflict levels (MS)

SECTION 03

On Our Radar

1. Week Ahead: hyperscaler earnings will calibrate the AI-capex thesis underpinning the semiconductor sleeve. Microsoft, Alphabet, Meta, and Amazon all report Wednesday after close, with Apple following Thursday. Per CNBC and Saxo, combined 2026 capex guidance from the four Wednesday names is tracking toward roughly $700 billion, with Alphabet alone reiterating $175–$185 billion. None of these names are IOWN holdings directly, but the capex disclosure sets the demand tape for NVDA, AMD, TSM, MRVL, CRDO, LRCX, NXPI, ADI, and KEYS. NXPI reports Tuesday and QCOM reports Wednesday after close—both are direct IOWN reads on the same thesis. *Research Reveals Opportunities.*

2. The FOMC concludes Wednesday at 2:00 PM ET against a hotter inflation path than the March meeting projected. Fed funds futures price approximately 99% odds of a hold at 3.50–3.75%, per Polymarket and CME FedWatch. The press conference is the market-moving event: Powell's framing of the Iran-driven energy inflation pulse, his characterization of the labor market in the wake of the 214K claims print, and any reference to the May 15 chair transition will set the dollar, the front end of the curve, and the Tech multiple into Thursday's GDP and PCE prints. JPMorgan Research now expects a hold through the remainder of 2026. *Think Like an Owner.*

3. Q1 GDP and March PCE land Thursday morning—the inflation read the Fed will not have seen before this week's decision. Per the BEA release schedule, Q1 advance GDP and the March personal income, spending, and PCE deflator print Thursday. The PCE's sequential trajectory is the single most important data point for the multiple-expansion trade in Tech. A core PCE that confirms the energy-driven push into household inflation expectations would extend the higher-for-longer regime that JPMorgan and Morgan Stanley have already priced. A softer print would create a notable counter-thesis to the recent inflation trajectory. The committee should size the print as a first-tier event, not a footnote to the FOMC. **The physical world matters.**

4. The diplomatic failure this weekend resets the Hormuz risk window into Fed week. Trump's decision to pull Witkoff and Kushner removes the active negotiating channel that had been the basis for the Brent retracement. The Strait of Hormuz remains effectively closed, US tanker seizures continue, and the structural supply impairment supporting refining margins persists. The committee's energy positioning—CVX, VLO, OKE, CTRA, CNX—remains the cleanest expression of the inflation backdrop the Fed must address Wednesday. Defense names (GD, LMT) softened Friday on ceasefire-extension framing; if the diplomatic track does not re-open early in the week, that pressure may reverse. *Avoid Erosion.*

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